SBI FUNDS MANAGEMENT

Institutional Investor Report Deck

Business Model, Industry Positioning & Stability Assessment

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PROJECT OVERVIEW

This project has been undertaken to evaluate the IPO readiness of SBI Funds Management by examining its business model, growth profile, financial characteristics, and risk management framework. The study aims to identify the critical factors that investors should consider while assessing an IPO opportunity and to understand the essential elements that contribute to a well-positioned public offering. The analysis also serves as a practical exploration of how companies present their investment case to the market.

Objectives

- To examine whether the company demonstrates characteristics suitable for a public offering
- To understand the factors that influence investor decision-making in IPO investments
- To analyze the strategic and financial elements typically presented in IPO pitches
- To develop practical insight into IPO evaluation and investment assessment

The study ultimately seeks to assess the company’s investment appeal from an IPO perspective and present a reasoned analytical view.

SBI FUNDS MANAGEMENT LTD.

TABLE OF CONTENT

CHAPTER No.	CHAPTER NAME
1	About the Company
2	Operating Segments & Technology
3	Risk Management
4	Financial & ESG
5	Industry & Peer Comparison
6	Recommendations & Conclusion

SAFE HARBOR

This document has been prepared solely for analytical discussion and informational purposes. The observations and frameworks presented herein are based exclusively on publicly available information obtained from sources believed to be reliable, including regulatory publications, industry data, and corporate disclosures.

This report does not constitute investment advice, a recommendation, or an offer to buy or sell securities. No representation or warranty, express or implied, is made as to the accuracy, completeness, or reliability of the information contained in this document.

No forward-looking statements, projections, forecasts, or hypothetical assumptions have been included. Any evaluation of the business, industry dynamics, or operating considerations should be undertaken with reference to official filings, statutory disclosures, and audited financial statements.

Readers are expected to exercise independent judgment and professional assessment when interpreting the information presented.

Chapter - 1

About the Company

SBI FUNDS MANAGEMENT – BUSINESS MODEL FRAMEWORK

01 **Revenue Model (AUM x Fee Yeilds)**

02 **AUM Drivers (Market Movement, Investor Flows)**

03 **Operating Leverage (Scale Benefits)**

04 **Earnings Sensitivity (Market Corrections)**

05 **Asset Mix Impact (Yield & Volatility)**

SBI Funds Management operates a fee-based asset management model where revenues are primarily linked to Assets Under Management (AUM). Asset levels are influenced by investor flows and market-driven valuation changes, making scale and participation dynamics central to revenue generation.

The model benefits from operating leverage at higher AUM levels, as revenue growth does not require proportional cost expansion. However, earnings remain inherently sensitive to financial market conditions and asset mix behaviour.

INSTITUTIONAL LEGACY

Institutional Stewardship. Disciplined Investing

The platform's strength is anchored in:

- ✓ Disciplined investment processes
- ✓ Robust risk and governance frameworks
- ✓ Diversified product capabilities
- ✓ Nationwide investor reach

Across strategies and cycles, the firm's philosophy remains constant:
To manage capital with prudence, consistency, and institutional rigor.

SBI Funds Management represents the convergence of institutional legacy and investment discipline. Rooted in the credibility of the State Bank of India ecosystem, the firm operates with a singular mandate: the responsible management of investor capital across market cycles. Scale is not merely a function of assets, but of enduring investor relationships built over decades of financial stewardship. With one of the industry's largest managed asset bases, SBI Funds Management plays a systemic role in channeling household and institutional savings into capital markets.

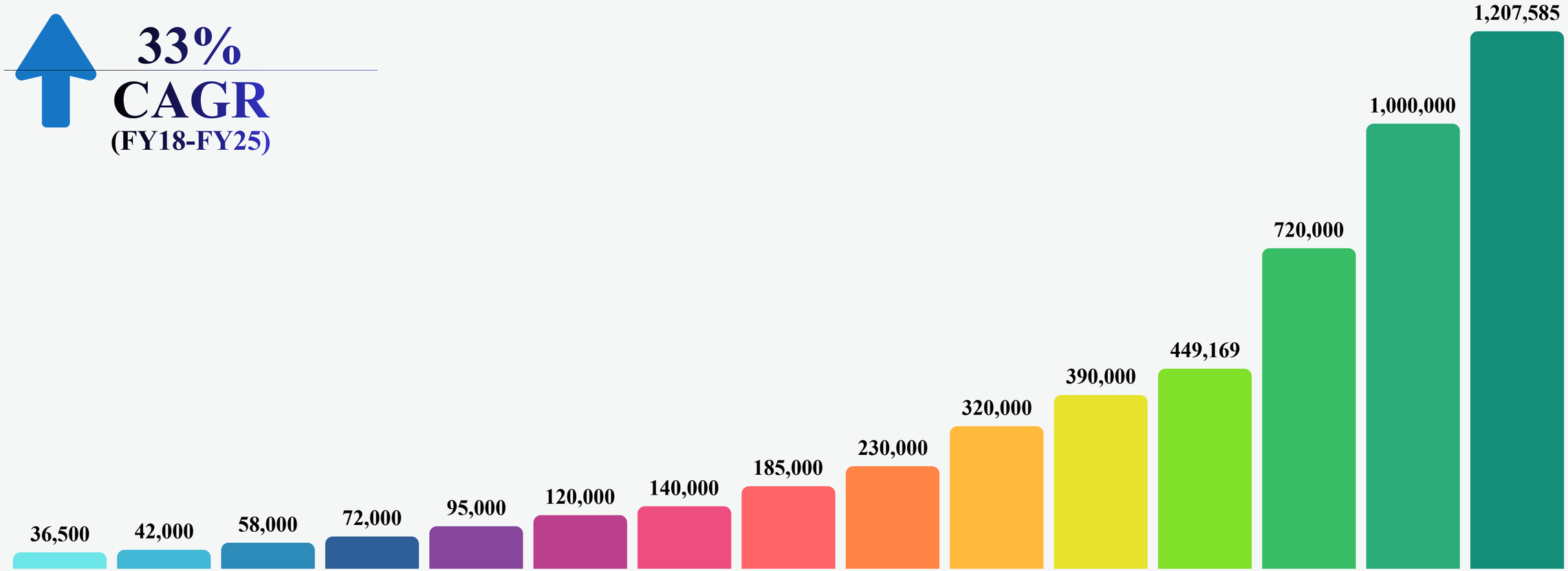
Attribute	Description
Business Type	Asset Management Company (AMC)
Regulatory Framework	SEBI-regulated
Core Function	Portfolio & Risk Management
Revenue Model	Fee-based (AUM-linked)
Investor Base	Retail & Institutional
Product Universe	Equity, Debt, Hybrid, Passive

AUM GROWTH & COMPOUNDING JOURNEY

2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025

AUM (Rs. Crore)

33%
CAGR
(FY18-FY25)



Rising AUM levels indicate sustained investor asset accumulation and reinforce SBI Funds Management's scale strength within India's expanding mutual fund industry.

SBI FUNDS MANAGEMENT LTD.

Search

Key Metrics & Portfolio Overview

Reporting Period: Q3 FY25

Industry Position: Market Leader

Total Asset under Management

₹ 12.07 Lakh Cr

Investor Portfolio Value

₹ 9.52 Lakh Cr

Year-on-Year Growth

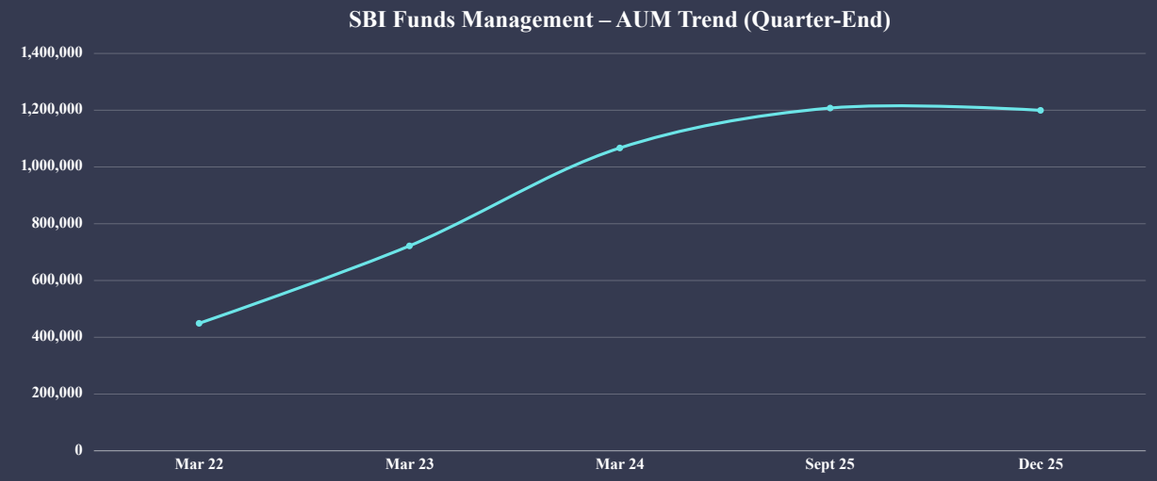
+18.4%

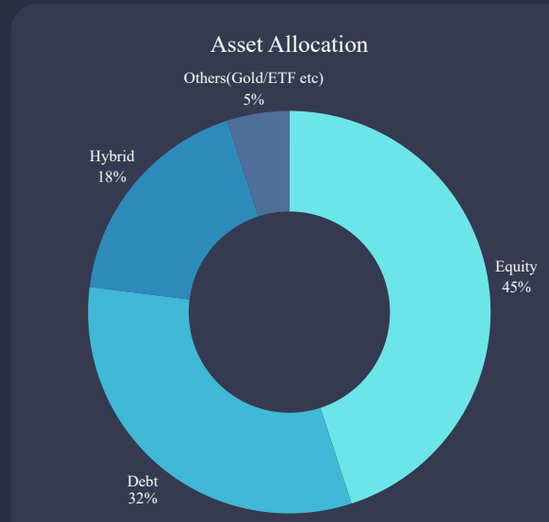
Net Inflows (Quarter)

₹ 8,540 Cr

Number of Schemes (Fund Count)

~92





Direct Plan AUM

₹ 7.24 lakh Cr

Best Scheme

SBI Gold Direct Plan – ~76% (1Y)

Key Scheme Snapshot

Scheme	Category	AUM	1Y Return	Risk Profile	Status
SBI Contra Fund	Equity	₹ 48,729 Cr	22.40%	Moderate	Active
SBI Bluechip Fund	Equity	₹ 36,920 Cr	18.10%	Moderate	Active
SBI Corporate Bond Fund	Debt	₹ 27,540 Cr	7.20%	Low	Active

KEY STRUCTURAL ADVANTAGES

SBI FUNDS MANAGEMENT LTD.

Distribution & Parentage Advantage

Leveraging SBI's nationwide network, brand trust, and financial ecosystem access to support sustained asset gathering

Scale-Driven Operating Leverage

Large asset base enhances operating efficiency, enabling profitability expansion as incremental assets scale

Diversified Investment Platform

Broad strategy coverage across asset classes supports earnings stability and multi-cycle market participation.

Retail-Anchored Investor Franchise

Extensive retail participation and SIP adoption contribute to predictable flows and asset base resilience.

Passive & ETF Expansion Strategy

Growing presence in passive solutions aligns with evolving investor preferences and scalable fee models

Distribution Strength | Scale Economics | Platform Diversification | Retail Stability | Passive Growth

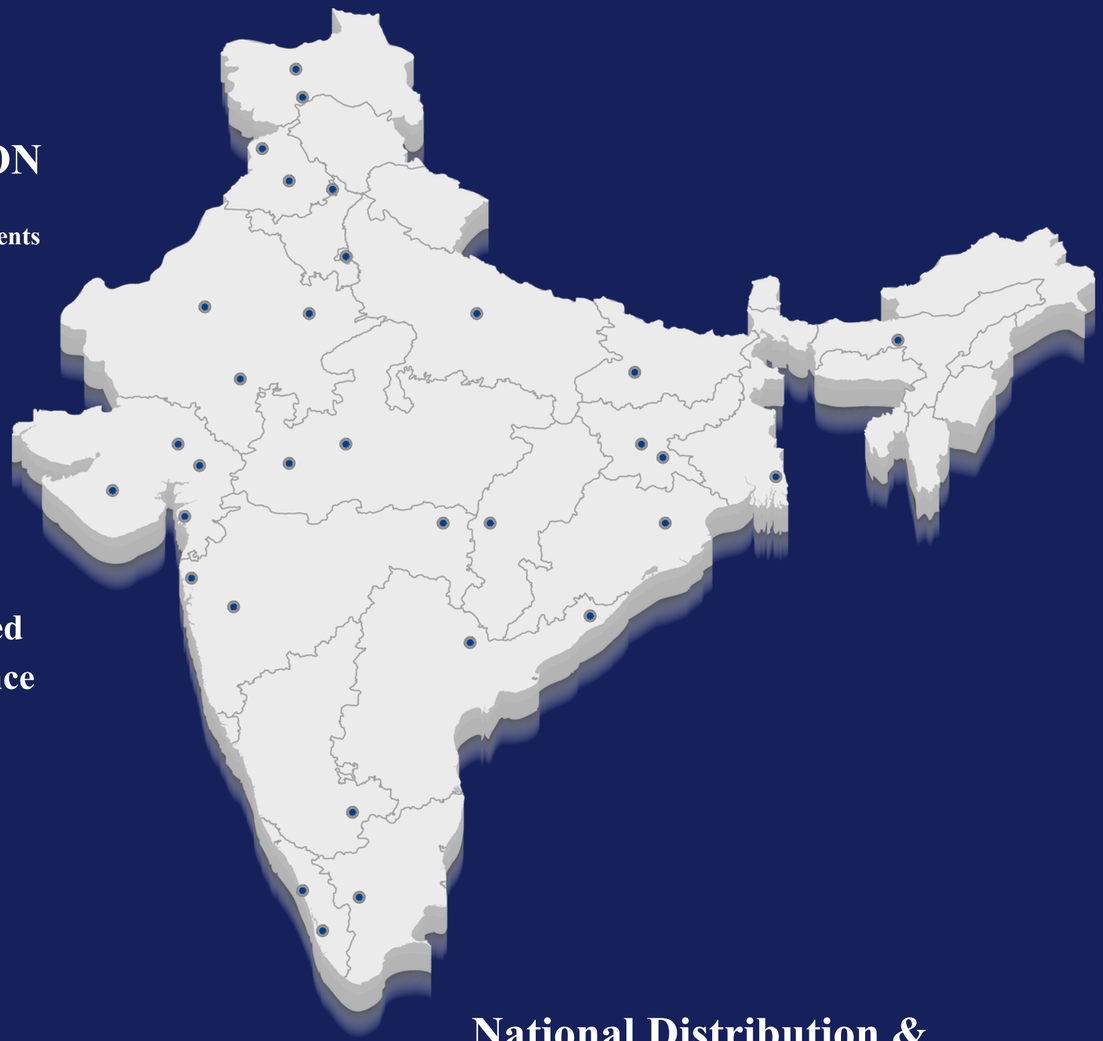
INSTITUTIONAL STRENGTH & REACH

290+
LOCATIONS
Pan India Investor Service Points

15+
MILLION
Across Retail & Institutional Segments

~16% Industry Market Share

Established Legacy Since 1987



National Distribution & Investor Access Network

Largest AMC in India

By Assets Under Management

LEADERSHIP & GOVERNANCE FRAMEWORK

Chairman and Associate Director

Mr. Challa Sreenivasulu Setty

Total Experience of
36 yrs

Managing Director & Chief Executive Officer

Mr. Nand Kishore

Total Experience of
34 yrs

Independent Director

Mr. Moiz Miyajiwala

Total Experience of
45 yrs

Independent Director

Mrs. Sudha Krishnan

Total Experience of
39 yrs

Associate Director

Mr. Fathi Jerfel

Total Experience of
25 yrs

Alternate Director to Mr. Fathi Jerfel

Mr. Denys de Campigneulles

Total Experience of
35 yrs

Independent Director

Mr. Shekhar Bhatnagar

Total Experience of
34 yrs

Associate Director

Mr. Ashwini Kumar Tewari

Total Experience of
32 yrs

Independent Director

Dr. Hemant Adarkar

Total Experience of
29 yrs

Independent Director

Mr. Sanjay Prakash

Total Experience of
34 yrs

Associate Director

Mr. Olivier Mariée

Total Experience of
31 yrs

SBI FUNDS MANAGEMENT LTD.

STRATEGIC SHAREHOLDING FRAMEWORK

SBI Funds Management is anchored by a strategic partnership between India's most trusted banking institution and one of Europe's leading asset managers.

State Bank of India

State Bank of India

India's Largest Banking Institution

- Legacy & Trust Anchor
- Domestic Distribution Strength
- Institutional Credibility

Majority Shareholder (~63%)

LONG-TERM
STRATEGIC
JOINT VENTURE

Amundi

ASSET MANAGEMENT

Amundi Asset Management

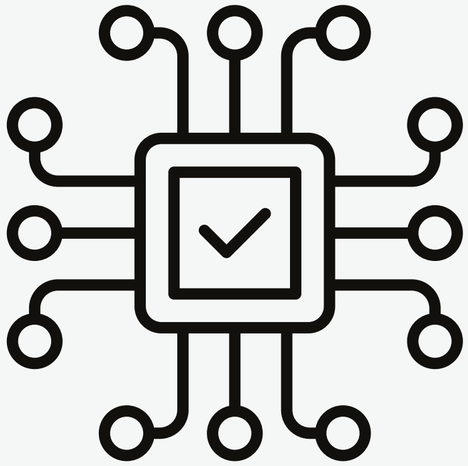
Leading European Asset Manager

- Global Investment Expertise
- International Risk Frameworks
- Institutional Asset Management Pedigree

Strategic Shareholder (~37%)

✓ Deep Institutional Sponsorship | ✓ Governance-Aligned Structure | ✓ Global Investment Capabilities

LONG-TERM STRATEGIC JOINT VENTURE

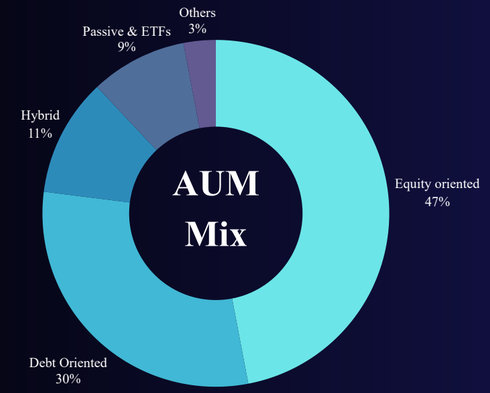


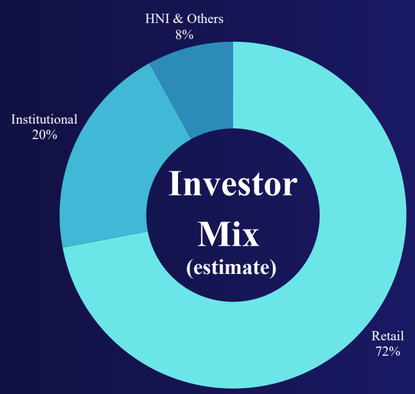
Chapter - 2

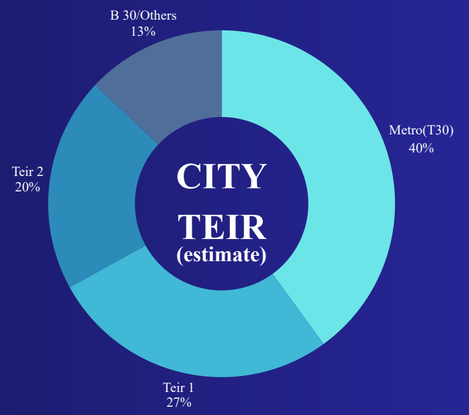
Operating Segments & Technology

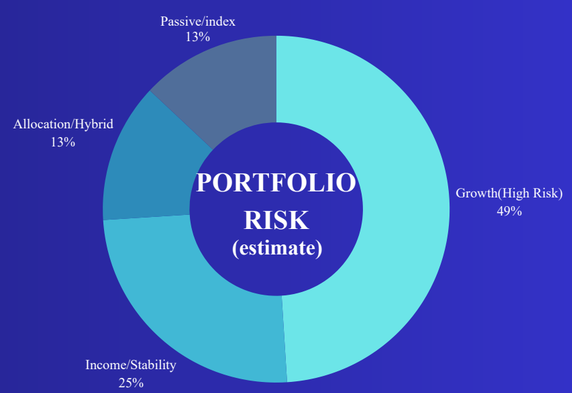
INVESTOR & PORTFOLIO DEMOGRAPHICS

2025

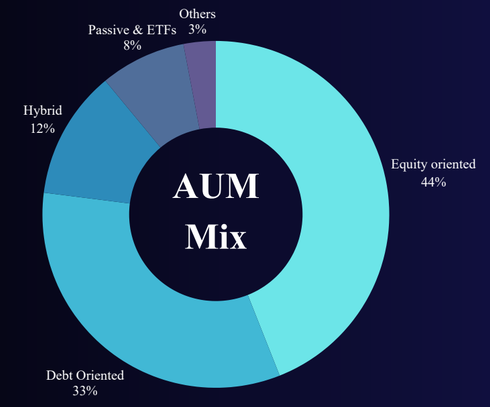


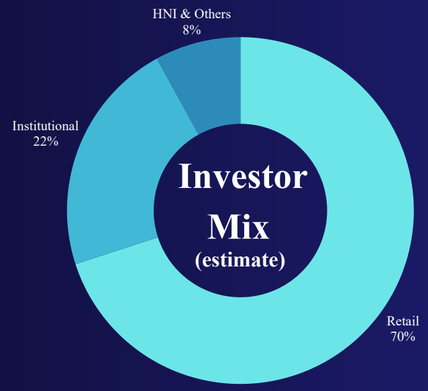


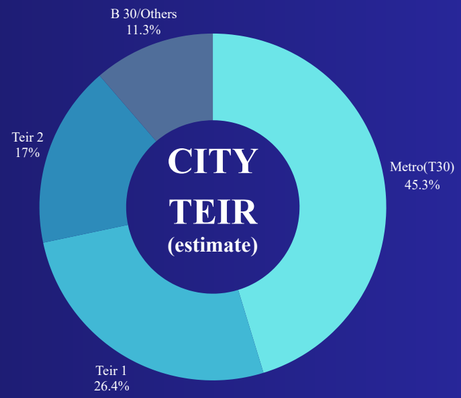


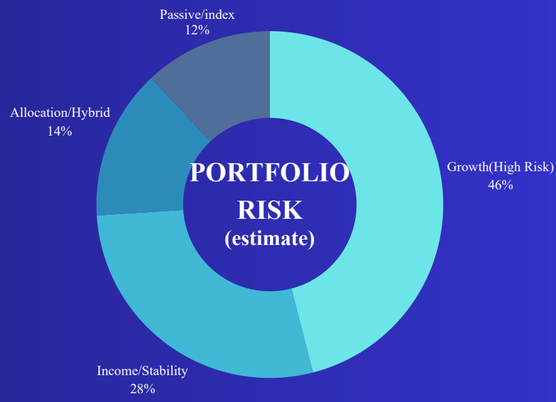


2024



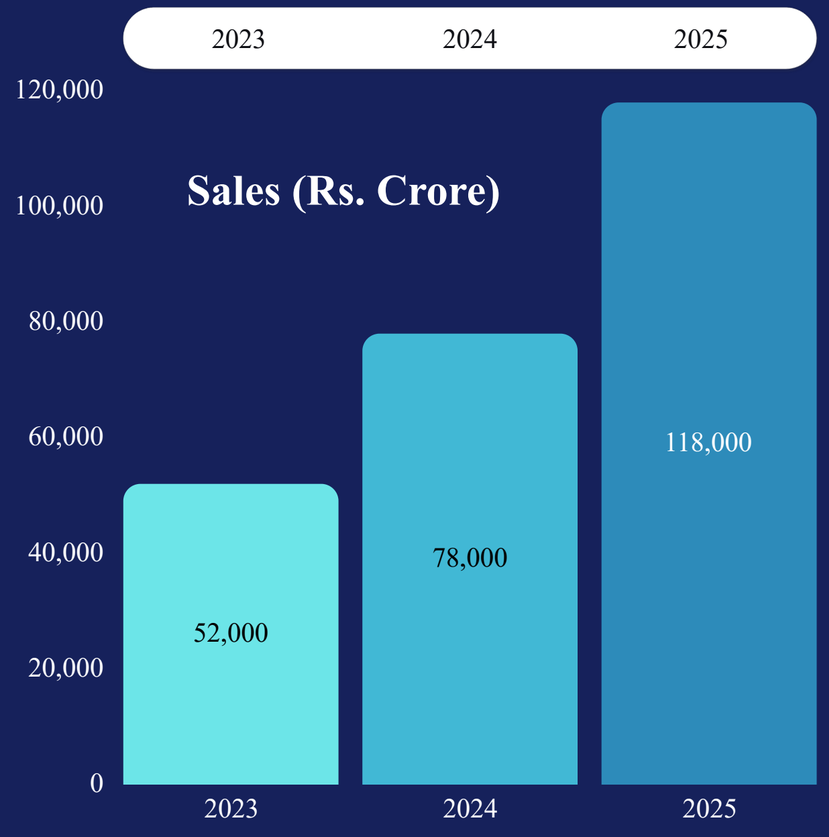


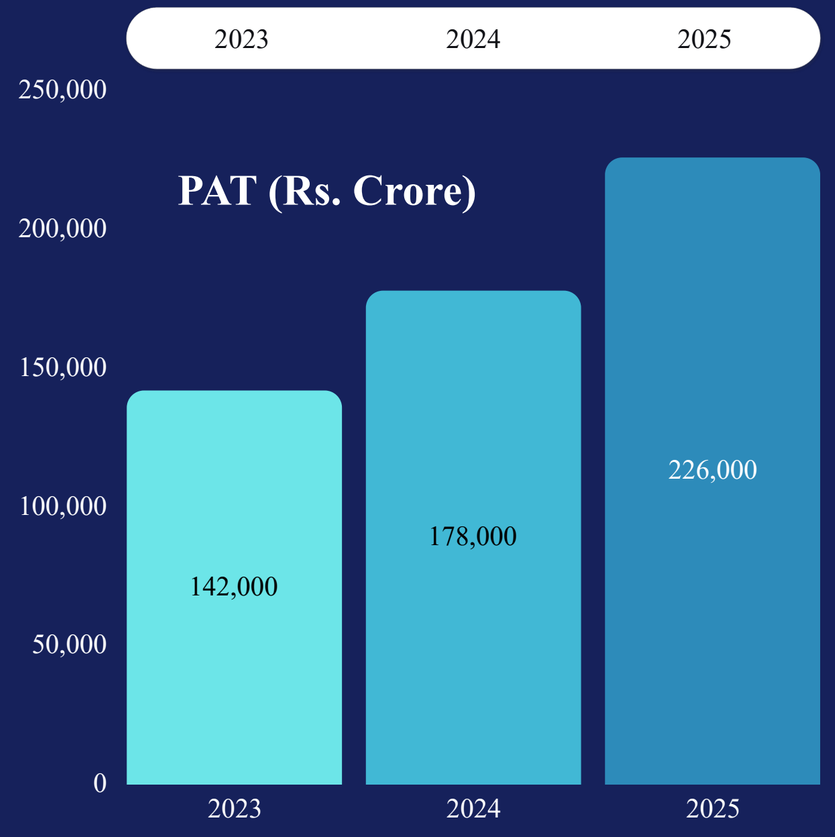




Sources: SBI Mutual Fund factsheets; AMFI FY25 reports; CAMS B-30 study; industry trackers (ETMoney). Where SBI-level published splits are not available, figures are conservative estimates calibrated from scheme factsheets and industry trends - replace with internal/official numbers if available.

ASSET GROWTH & EARNINGS TRENDS





Consistent Asset Gathering Driving AUM Growth & Profitability Scaling

Sources: SBI Mutual Fund factsheets, AMFI industry flow reports, and industry trackers. Figures represent rounded yearly approximations for analytical presentation purposes.

INVESTMENT PLATFORM & OPERATING SEGMENT

Equity Strategies

Large Cap; Flexicap / Multicap
Mid / Small Cap; Sectoral / Thematic

25+ Active Equity Strategies

Fixed Income Strategies

Liquid / Money Market; Short Duration
Corporate Bond; Credit Opportunities

18+ Debt & Income Strategies

Hybrid & Allocation Strategies

Aggressive Hybrid
Balanced Advantage
Multi-Asset Allocation

Dynamic Asset Allocation Solutions

Passive & ETF Platform

Index Funds; ETFs
Factor / Smart Beta

One of India's Fastest Growing Passive Suites

Equity Platform Strength

Fixed Income Depth

Hybrid Capabilities

Passive & ETF Expansion

TECHNOLOGY & PLATFORM INFRASTRUCTURE

Data & Analytics Infrastructure

Supporting portfolio monitoring, performance evaluation, and decision frameworks.

Investor Servicing & Digital Access Channels

Enabling seamless investor onboarding, transactions, and service interactions.

Portfolio Management & Monitoring Tools

Facilitating investment execution, allocation control, and exposure tracking.

SBI FUNDS MANAGEMENT LTD.

Scalable Digital & Operational Infrastructure

Scalable Transaction & Processing Platforms

Supporting high-volume investor transactions, settlements, and portfolio operations.

Risk & Compliance Systems Integration

Embedding regulatory controls, surveillance, and risk oversight into operations.

Chapter - 3

Risk Management

INTEGRATED RISK & CONTROL FRAMEWORK

Risk Surveillance & Diagnostics

- ✓ Continuous assessment of market, liquidity, and credit conditions
- ✓ Portfolio-level sensitivity & exposure evaluation
- ✓ Early risk signal detection mechanisms

Governance & Fiduciary Oversight

- ✓ Structured internal oversight & review architecture
- ✓ Independent control & supervision mechanisms
- ✓ Regulatory & compliance alignment discipline

Portfolio Guardrails & Allocation Discipline

- ✓ Diversification-led construction frameworks
- ✓ Exposure, duration, and concentration boundaries
- ✓ Benchmark-aware positioning discipline

Monitoring, Analytics & Stress Oversight

- ✓ Continuous performance & risk metric tracking
- ✓ Scenario & volatility sensitivity analysis
- ✓ Liquidity & redemption resilience monitoring

MARKET & LIQUIDITY RISK CONTROLS

Market Risk Discipline

- ✓ **Volatility & Drawdown Monitoring**
  Continuous tracking & early warning
- ✓ **Asset Allocation & Exposure Guardrails**
  Sector • Theme • Cap Limits
- ✓ **Sensitivity & Factor Risk Analysis**
  Interest Rate • Equity • Currency
- ✓ **Stress & Scenario Testing**
  Market Shock • Rate • Liqudity Scenarios

Portfolio Stability

Liquidity Risk Discipline

- ✓ **Liquidity Profiling & Filters**
  Asset-Level Liquidity Assessment
- ✓ **Redemption Resilience**
  Buffer & Contingency Planning
- **Cash & Duration Management**
  Optimized Cash Buffers
- ✓ **Exit Impact Monitoring**
  Large Ticket • Concentration Alerts

Disciplined market exposure and liquidity preparedness underpin portfolio Stability across market Cycles.

CREDIT & FIXED INCOME RISK DISCIPLINE

Credit Evaluation Framework

✓ Issuer-level credit assessment discipline
✓ Business fundamentals & leverage review
✓ Cash-flow and balance sheet analysis
✓ External ratings used as reference anchors

Portfolio Guardrails & Exposure Controls

✓ Issuer and group exposure boundaries
✓ Sector concentration discipline
✓ Rating-wise allocation frameworks
✓ Duration & maturity alignment

Continuous Monitoring & Surveillance

✓ Ongoing issuer performance tracking
✓ Spread & downgrade sensitivity review
✓ Early warning indicators & watchlists
✓ Periodic internal reassessment mechanisms

Credit Quality Orientation

AAA / Sovereign Instruments	**~99–100%**
AA & Below Instruments	**~0–1%**

Interest Rate Sensitivity

Modified Durations	**~2.97 Years**

Duration discipline limits rate exposure

High-grade credit predominance and duration discipline underpin fixed income portfolio stability.

COMPLIANCE & FIDUCIARY OVERSIGHT

Regulatory & Fiduciary Framework

- ✓ Operates under SEBI (Mutual Fund) Regulations
- ✓ Compliance with fiduciary operating standards

Trustee Oversight

- ✓ Independent trustee governance architecture
- ✓ Segregation of investment & fiduciary functions

Risk & Compliance Controls

- ✓ Continuous compliance surveillance systems
- ✓ Mandate & exposure monitoring mechanisms

Disclosure & Transparency Standards

- ✓ Periodic portfolio & scheme disclosures
- ✓ Investor reporting & communication protocols

Governance architecture, compliance discipline, and disclosure standards reinforce fiduciary integrity.

Chapter - 4

Financials & ESG

SBI Funds Management Ltd. — IPO Pitchbook

TOTAL AUM	TOTAL REVENUE	PROFIT AFTER TAX	EBITDA MARGIN	MARKET SHARE	NET PROFIT MARGIN
₹11.1L Cr	₹4,236 Cr	₹2,540 Cr	79.0%	~18%	60.0%
Avg AUM · Mar 2025	Total Income FY25	Net PAT FY25	Operating Margin	AAUM Rank #1 India	PAT / Total Income
▲ 39% YoY	▲ 23.6% YoY	▲ 22.5% YoY	▲ 100 bps YoY	▲ vs 17.7% FY23	▲ Industry avg 56%

PROFIT & LOSS SNAPSHOT (₹ LAKHS)

Asset Management Fees	3,59,776 ▲ 33.7% vs FY24: 2,69,056	Net Gain on Fair Value	46,557 ▼ vs FY24: 58,262
Total Revenue from Ops	4,06,332 ▲ 24.1% vs FY24: 3,27,318	Other Income	17,283 ▲ 13.0% vs FY24: 15,290
Total Income	4,23,615 ▲ 23.6% vs FY24: 3,42,608	Total Expenses	87,181 ▲ 15.9% vs FY24: 75,246
Employee Benefits Exp	42,108 ▲ 14.3% vs FY24: 36,839	D&A Expense	3,944 ▲ vs FY24: 3,700
Profit Before Tax	3,36,434 ▲ 25.8% vs FY24: 2,67,362	Profit After Tax	2,54,015 ▲ 22.5% vs FY24: 2,07,278

BALANCE SHEET SNAPSHOT (₹ LAKHS)

ASSETS

ITEM	FY25	FY24
Cash & Equiv.	1,546	368
Trade Receivables	12,256	10,770
Investments	8,05,428	6,64,542
Eq. Method Inv.	5,717	4,255
PPE	26,392	25,100
Other Assets	25,793	5,838
Total Assets	**8,77,133**	**7,10,689**

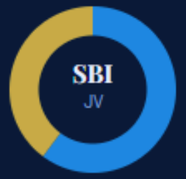
LIABILITIES & EQUITY

ITEM	FY25	FY24
Trade Payables	2,024	1,963
Other Fin. Liab.	15,490	12,949
Provisions	15,727	13,020
Deferred Tax	13,972	7,430
Share Capital	5,079	5,058
Other Equity	8,24,674	6,69,717
Total Equity	**8,29,753**	**6,74,775**

5-YEAR HISTORICAL FINANCIAL SUMMARY (₹ CRORE)

METRIC	FY21	FY22	FY23	FY24	FY25	5Y CAGR
Asset Mgmt Fees	1,250	1,580	2,010	2,691	3,598	30.3%
Total Revenue	1,800	2,100	2,650	3,426	4,236	23.9%
EBITDA	1,260	1,512	2,002	2,665	3,346	27.6%
Profit After Tax	817	1,011	1,331	2,073	2,540	32.8%
EBITDA Margin	70.0%	72.0%	75.5%	77.8%	79.0%	+900 bps
Net Profit Margin	45.4%	48.1%	50.2%	60.5%	60.0%	+1,460 bps
Avg AUM (₹ L Cr)	4.7	5.2	6.0	8.0	11.1	~24.0%
Return on Equity	21%	23%	27%	29%	31%	+1,000 bps
EPS (₹/share, est.)	**~17**	**~21**	**~28**	**~41**	**~50**	**~31%**

OWNERSHIP & CAPITAL STRUCTURE



State Bank of India	62.6%
Amundi Asset Mgmt (France)	36.8%
Employees / Others	0.6%

Total Equity (FY25)	₹8,29,753 L ▲ 23% vs FY24	Share Capital	₹5,079 L vs FY24: ₹5,058 L
Book Value / Share (est.)	~₹163 ▲ vs ~₹133 FY24	Dividend History	₹4/sh (FY24) Consistent payout track

▸ **SBI** — Govt-backed majority promoter · India's largest bank by assets | ▸ **Amundi** — Europe's largest asset manager; €2.2T AUM globally | ▸ **JV Structure**

RETURN ON EQUITY	EBITDA MARGIN	NET PROFIT MARGIN	COST-TO-INCOME	RETURN ON ASSETS	REVENUE CAGR (5Y)	PAT CAGR (5Y)	EFF. TAX RATE
31%	79%	60%	20.6%	~29%	23.9%	32.8%	24.8%
FY25 · +400 bps vs HDFC AMC	FY25 · vs Ind. avg 72%	FY25 · Ind. avg 56%	FY25 · Best-in-class	FY25 · Asset-light model	FY21–FY25	FY21–FY25	FY25 normalized
▲ vs 27% FY23	▲ 100 bps YoY	▲ Superior NPM	▼ vs 22.2% FY24	▲ Stable YoY	Consistent growth	▲ Industry leading	▼ vs 23% FY24

PROFITABILITY RATIOS — TREND (FY23→FY25)

RATIO	FY23	FY24	FY25	Δ
Asset Mgmt Fees (₹ Cr)	2,010	2,691	3,598	+33.7%
Total Revenue (₹ Cr)	2,650	3,426	4,236	+23.6%
EBITDA (₹ Cr)	2,002	2,665	3,346	+25.6%
EBITDA Margin	75.5%	77.8%	79.0%	+120 bps
Net Profit Margin	50.2%	60.5%	60.0%	−50 bps
PAT (₹ Cr)	1,331	2,073	2,540	+22.5%
PBT Margin	~72%	~78%	79.4%	+140 bps
PAT Growth YoY	31.6%	55.7%	22.5%	—
Return on Equity	27%	29%	31%	+200 bps
Return on Assets	**~19%**	**~29%**	**~29%**	**Stable**

OPERATIONAL & EFFICIENCY RATIOS (FY23→FY25)

RATIO	FY23	FY24	FY25	TREND
Cost-to-Income Ratio	24.5%	22.2%	20.6%	▼ Improving
Employee Cost % Revenue	~15%	~10.8%	~9.9%	▼ Scaling
Other Opex % Revenue	~12%	~8.5%	~8.1%	▼ Efficient
Scheme Expenses % Rev.	~2.1%	~1.4%	~1.4%	Stable
D&A % of Revenue	~1.7%	~1.1%	~0.9%	▼ Improving
Revenue per ₹ Cr AUM	44 bps	43 bps	38 bps	▼ Fee comp.
Asset Turnover	~0.37x	~0.48x	~0.48x	Stable
Effective Tax Rate	~27%	~23%	~24.8%	Normalized
Finance Cost % Rev.	~0.03%	~0.02%	~0.02%	Minimal
Operating Leverage	**Positive**	**Strong**	**Improving**	**▲ Robust**

VALUATION METRICS & KEY HIGHLIGHTS

ETF MARKET SHARE	SIP ACCOUNT SHARE	INDICATIVE P/E (FY24)	P/AUM MULTIPLE	EV / EBITDA (EST.)	BOOK VALUE / SHARE
43%	~10%	63x	~5.5%	~35x	~₹163
Largest ETF AMC · India	Live SIP · Avg ₹2,570 ticket	Unlisted · HDFC AMC: 45x	Mkt cap / AUM (est.)	FY25 · Industry ~28x	FY25 est. · +22% YoY
▲ EPFO mandate	▲ Retail depth	Premium valuation	▲ In-line peers	Leadership premium	▲ Strong equity base

CASH FLOW SUMMARY (₹ LAKHS)

PARTICULARS	FY25	FY24
EBITDA Proxy (PBT + D&A)	3,40,378	2,71,062
Operating Cash (pre-WC)	28,085	20,164
Tax Paid	(7,738)	(5,297)
Net Cash from Operations	**19,926**	**14,384**
Cash from Investing	—	—
Cash from Financing	—	—
Closing Cash Balance	**1,546**	**368**

OCF GROWTH TREND

KEY INVESTMENT HIGHLIGHTS

01 Market Leadership — India's #1 AMC
~18% industry AAUM share; first AMC to surpass ₹10L Cr AUM milestone; dominates passive segment with 43% ETF share

02 Best-in-Class Profitability
EBITDA margin 79% vs ind. avg 72%; ROE 31% vs HDFC AMC 27%; PAT CAGR 32.8% over 5 years; strong operating leverage

03 Structural Tailwinds — India's Financialisation
MF penetration rising from 19% to 112% of GDP by 2047; industry AUM projected at ₹2,791L Cr; SIP inflows at record highs

04 SBI Brand + Amundi Global Expertise
SBI's 500M+ customer base drives retail penetration; Amundi (€2.2T AUM) adds global product innovation and institutional credibility

SBI Funds Management

Responsible Investing · GRI · UN-PRI · BRSR Compliant

ESG HIGHLIGHTS

ESG 2024–25

FY 2024-2025

E Environmental

Asset-Light Carbon

~Zero Direct

Scope 1 & 2 · AMC financial services model — minimal direct industrial emissions

GHG Avoided (SBI Grp)

53,394 MTCO2e

SBI Group FY24 Sustainability Report · scope of operations

RE Portfolio Financed

₹47,418 Cr

31,787 MW capacity · SBI Group Renewable Energy Portfolio FY24

ESG Fund AUM (SBIMF)

₹6,200+ Cr

SBI Magnum ESG Fund · India's first ESG screened equity mutual fund

Green Bonds (SBI Grp)

USD 250M

FY24 · Per SBI ESG Financing Framework · earmarked green projects

Digital Transactions

97%

Share of paperless digital inflows FY24 · Reducing physical footprint

E	S	G
B+	A−	A
Environmental	**Social**	**Governance**
Asset-light · ESG fund · Green chain	Inclusion · Literacy · Workforce DEI	UN-PRI · CFA Code · BRSR · Ind Board

UN SDG ALIGNMENT · Source: SBIFML AR FY24 & SBI Sustainability Report

1	4	8	9	10	13	17
No Poverty	Education	Decent Work	Innovation	Inequality	Climate	Partnerships

ESG COMMITMENTS & MILESTONES TIMELINE

- **2015** — First AMC to comply with CFA Institute Asset Manager Code of Conduct in India
- **2018** — UN-PRI Signatory — United Nations Principles for Responsible Investment
- **2020** — First AMC to adopt SEBI Stewardship Code · Great Place to Work Certified
- **FY24** — BRSR Filed · 97% digital · Beach clean-up · Project Poshan (malnutrition) · Blood donation
- **2026** — ESG Target: Carbon reduction · Women workforce 25%+ · UNPRI reporting strengthened
- **2030** — SBI Group: Carbon Neutral Scope 1&2 · 7.5% green portfolio ratio in advances

Digital Trans.: **97%** UN-PRI Since: **2018** ESG AUM: **₹9L+ Cr**

S · Social

New Investors FY24

40 Lakh

Financial inclusion · 40L new investors onboarded

Retail AUM Growth (5Y)

3× Growth

₹1,50,344 Cr (FY20) → ₹4,29,588 Cr (FY24)

Stepathon FY24

1,61,529 km

Employee volunteering · Blood donation · Beach clean-up

G · Governance

Board Composition

10 Directors

4 Independent · FY24 · Mrs. Sudha Krishnan — Ind. Director

Regulatory Compliance

100%

SEBI BRSR filed · LODR compliant · Zero material violations FY24

Dividend FY24

₹4 / share

Interim dividend · Consistent shareholder value distribution

Sources: SBIFML Annual Report FY2023–24 · SBI Group Sustainability Report FY24 · sbimf.com · SEBI BRSR · SBI ESG Financing Framework · UN-PRI Records 2018

SBI AMC · IPO Pitchbook · 2025

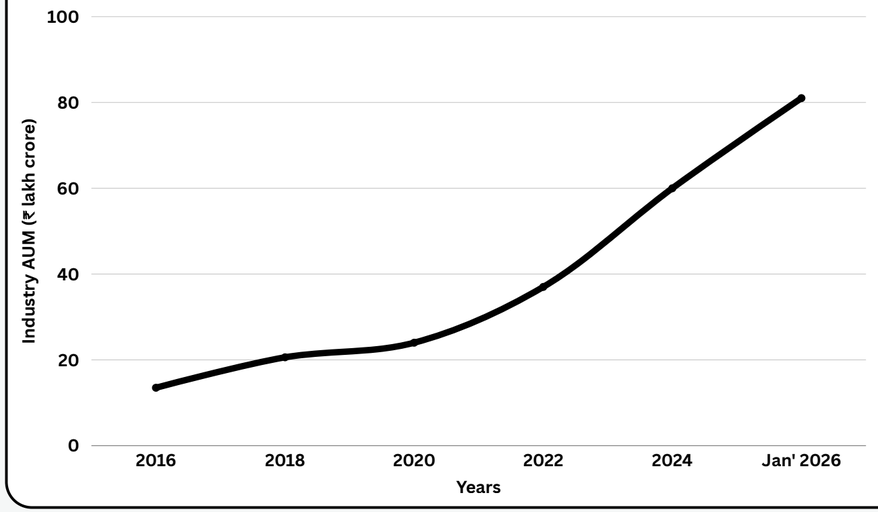
Chapter - 5

Industry & Peer Competition Analysis

INDUSTRY KPI : ASSET MANAGEMENT LANDSCAPE

Total MF Industry AUM

₹ 81.01 lakh crore



Equity Share of Industry AUM

59%

June 2025

Majority of mutual fund assets are in equity-oriented schemes, demonstrating investor participation in market-linked assets.

Industry AUM Growth Rate (5Y CAGR)

21-22%

Monthly SIP Inflows

₹ 29,911 crore

Nov' 2025

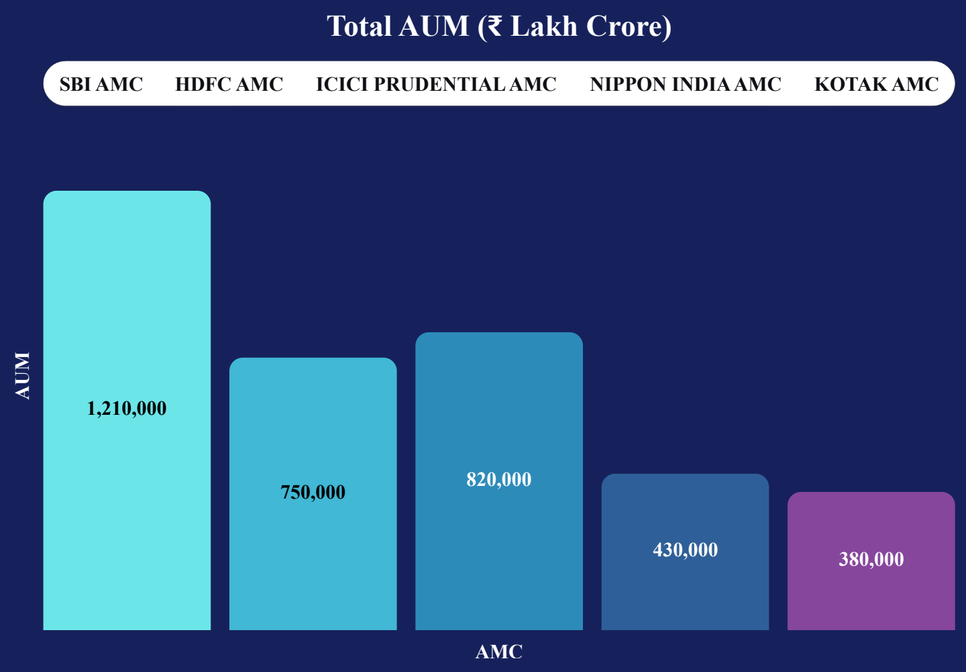
AMC Industry Depth

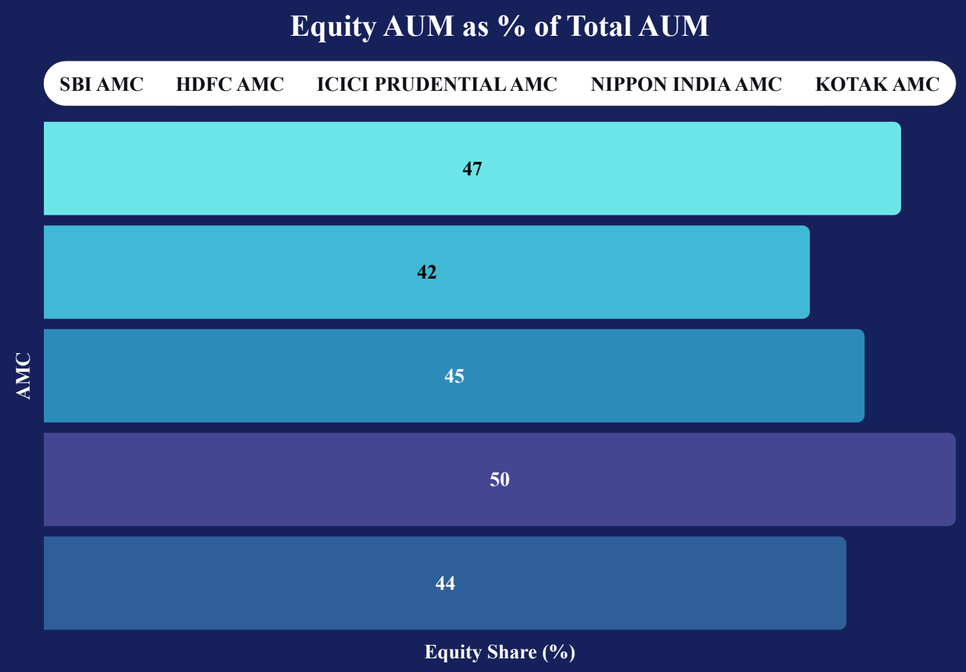
46 SEBI-registered AMCs

Total Mutual Fund Folios

26 crore Folios

SCALE COMPARISON V/S LEADING AMCS





Industry-leading scale strengthens competitive positioning.

Equity mix drives revenue yield potential.

AMC	Total AUM (₹ Lakh Cr)	Equity Share	Product Breadth	Passive / ETF Presence
SBI Funds Management	₹ 12.1	47%	Extensive	Strong
ICICI Prudential AMC	₹ 8.2	42%	Extensive	Strong
HDFC AMC	₹ 7.5	45%	Broad	Moderate
Nippon India MF	₹ 4.3	50%	Broad	Strong
Kotak AMC	₹ 3.8	44%	Broad	Moderate

COMPETITIVE POSITIONING FRAMEWORK

Dimension	SBI Funds Management	HDFC AMC	ICICI Prudential AMC	Nippon India MF	Kotak AMC
Distribution Reach	Extensive	Strong	Strong	Moderate	Moderate
Retail Franchise	Very Strong	Strong	Strong	Strong	Moderate
Product Breadth	Extensive	Broad	Extensive	Broad	Broad
Passive / ETF Presence	Expanding	Selective	Expanding	Strong	Selective
Scale Advantages	Significant	Strong	Strong	Moderate	Moderate

Scale and distribution leverage underpin SBI's Competitive Strength.

Chapter - 6

Recommendations & Conclusion

SBI FUNDS MANAGEMENT LTD.

FINANCIAL BRIEF · FY2024-25

FINANCIAL PERFORMANCE ANALYSIS & INVESTMENT THESIS

• STRONG BUY

31 March 2025 ·

INVESTMENT CASE
INVESTMENT THESIS

> *"SBI AMC is not just India's largest fund house — it is the most structurally advantaged beneficiary of India's savings transformation."*

With ₹11.1L Cr in AUM, a 5-year PAT CAGR of 32.8%, and margins expanding consistently, SBI AMC presents a rare combination of scale, profitability, and secular growth. The SBI parentage provides unmatched distribution depth across 22,000+ branches while Amundi's global expertise elevates product sophistication. The business is asset-light, margin-accretive at scale, and levered to India's underpenetrated MF market — a once-in-a-generation compounding story.

BULLISH DRIVERS

- **Unassailable Scale:** #1 by AUM at ~18% share; 43% ETF market dominance creates moat
- **Margin Architecture:** EBITDA margin expanding 900 bps in 5 years — operating leverage is real
- **Secular Tailwind:** Industry AUM projected 10x to ₹2,791L Cr by 2047; MF penetration at just 19% of GDP
- **EPFO Mandate:** Exclusive manager of EPFO's equity corpus — captive, recurring, fee-generating AUM

WATCH POINTS

- **Fee Compression:** Revenue yield declining from 44 bps (FY23) to 38 bps (FY25) as passive AUM scales
- **Market Risk:** Fair value gains volatile — swung from +₹58,262L (FY24) to +₹46,557L (FY25)
- **Valuation Premium:** Indicative P/E of 63x vs HDFC AMC at 45x — priced for perfection; execution must sustain

QUANTITATIVE CASE
FINANCIAL ANATOMY

5-YEAR AUM CAGR

24%

₹4.7L Cr → ₹11.1L Cr · FY21 to FY25

▲ 1st AMC past ₹10L Cr

EBITDA MARGIN FY25

79%

vs 70% in FY21 · +900 bps in 5 years

▲ +120 bps vs FY24

5-YEAR PAT CAGR

32.8%

₹817 Cr → ₹2,540 Cr · Compounding at scale

▲ Industry-leading PAT growth

REVENUE & PAT PROGRESSION (₹ CRORE) · FY21-FY25

CAGR 23.9% REV · 32.8% PAT

MARGIN EXPANSION STORY

EBITDA Margin: 70% → 79% +9pp

Revenue growing faster than cost base — every ₹100 of new fee income drops ~₹79 to EBITDA. Structural, not cyclical.

REVENUE QUALITY

Fee Income as % of Revenue 85%

Asset mgmt fees of ₹3,598 Cr now 85% of total revenue — high-quality, recurring, AUM-linked income with low volatility.

CAPITAL EFFICIENCY

ROE — and Rising 31%

ROE improved 1,000 bps over 5 years. Asset-light model means incremental equity generates disproportionate returns.

KEY RISK TO MONITOR

Yield Compression Underway 38bps

Revenue/AUM fell from 44 bps (FY23) to 38 bps (FY25). Passive ETF growth structurally lowers blended fee yield. Must be watched.

IPO RECOMMENDATION
CONCLUSIONS

IPO RECOMMENDATION • SUBSCRIBE

- **Subscribe for Long Term.** SBI AMC's compounding track record — 32.8% PAT CAGR over 5 years — combined with India's underpenetrated MF market (19% of GDP) makes this a structural wealth-creation opportunity.
- **Valuation is a premium, not a deterrent.** At 63x P/E, SBI AMC commands a richly valued entry, but the asset-light model, expanding margins, and near-monopoly on ETF AUM justify above-peer multiples over a 3–5 year horizon.
- **Watch the yield compression.** Investors should monitor blended fee yield (currently 38 bps) as passive ETF growth continues. A sustained fall below 35 bps would warrant a re-rating of revenue growth expectations.

RISK / REWARD SPECTRUM RISK / REWARD

Risk 28% — Reward 72%

⊕ KEY DIFFERENTIATOR

Only AMC combining state bank distribution (SBI's 500M+ customers) with European institutional pedigree (Amundi, €2.2T AUM). This JV is impossible to replicate.

⊕ IPO CATALYST

Listing will unlock price discovery, employee ESOPs & liquidity for Amundi — driving management alignment with public shareholders.

⊘ PRIMARY RISK

Passive ETF dominance → yield compression. If blended fee yield falls below 35 bps, revenue growth could lag AUM growth materially.

Investor Conclusion | IPO Readiness Assessment

01 BUSINESS MODEL

IPO READY

Fee-based AUM model with 79% EBITDA margin and 33% AUM CAGR (FY18–25) confirms durable, scalable revenue architecture.

02 MARKET POSITION

MARKET LEADER

India's #1 AMC at ₹12.1L Cr AUM (~18% market share), 43% ETF dominance, and exclusive EPFO mandate - a near-irreplicable moat.

03 FINANCIAL HEALTH

BEST-IN-CLASS

ROE: 31% | PAT CAGR 5Y: 32.8% | NPM: 60% vs industry avg 56% | Cost-to-Income improving to 20.6% - superior profitability metrics.

04 KEY RISK

MONITOR

Fee yield compression: Revenue/AUM declined 44 -> 38 bps as passive ETF AUM scales. Sustained fall below 35 bps warrants re-rating.

1. SBI Funds Management is structurally and financially IPO-ready, evidenced by its ₹12.07 lakh crore AUM, 79% EBITDA margin, and SEBI-regulated governance framework that meets all public offering benchmarks.

2. Investor decision-making in this IPO is anchored by the SBI brand moat, SIP-driven retail stability, exclusive EPFO mandate, and a fee-based revenue model that compounds alongside India's growing financialisation.

3. The pitchbook demonstrates a strong IPO narrative built on scale leadership, operating leverage, product diversification, ESG compliance, and peer-beating profitability metrics including 60% NPM and 31% ROE.

4. Applying valuation frameworks such as P/AUM, EV/EBITDA, and fee yield trend analysis confirms SBI AMC as a premium long-term compounding play, with passive ETF-driven fee compression as the key risk to monitor.

INVESTMENT VERDICT

"SBI AMC is not merely India's largest fund house - it is the most structurally advantaged beneficiary of India's savings transformation. The IPO is a rare convergence of institutional legacy, secular tailwinds, and compounding profitability."

24%	79%	32.8%
5Y AUM CAGR	EBITDA Margin	5Y PAT CAGR

This report has been prepared solely for academic and analytical purposes. No investment advice is intended or implied. Sources: SBIMFL Annual Reports, AMFI, SEBI filings, industry trackers.

GLOSSARY OF KEY TERMS

Term / Abbrev.	Definition
AUM	Assets Under Management — total market value of all funds managed by the AMC.
AAUM	Average AUM over a period; used for market share calculations (AMFI basis).
AMC	Asset Management Company — entity that manages mutual fund schemes (here: SBIMF).
AMFI	Association of Mutual Funds in India — industry body regulating and reporting MF data.
SIP	Systematic Investment Plan — fixed periodic investment into a mutual fund scheme.
ETF	Exchange Traded Fund — passive fund tracking an index, traded on stock exchanges.
EPFO	Employees' Provident Fund Organisation — mandatory retirement savings body; SBIM manages its equity corpus.
NFO	New Fund Offer — initial fundraising for a new mutual fund scheme.
PMS	Portfolio Management Services — discretionary/non-discretionary service for HNI investors (min ₹50L).
AIF	Alternative Investment Fund — SEBI-regulated pooled investments in PE, VC, hedge strategies.
NAV	Net Asset Value — per-unit value of a mutual fund, computed daily.
TER	Total Expense Ratio — annual fee charged to a mutual fund scheme as % of daily AUM.
PAT	Profit After Tax — net earnings remaining after income tax deduction.
PBT	Profit Before Tax — operating profit before deducting income tax expenses.
EBITDA	Earnings Before Interest, Taxes, Depreciation & Amortisation — operating profitability proxy.
ROE	Return on Equity — PAT ÷ Average Shareholders' Equity; measures capital efficiency.
ROA	Return on Assets — PAT ÷ Total Assets; measures efficiency of asset deployment.
CAGR	Compound Annual Growth Rate — smoothed annual growth rate over a multi-year period.
EPS	Earnings Per Share — PAT ÷ total shares outstanding; key per-share profitability metric.

GLOSSARY OF KEY TERMS

Term / Abbrev.	Definition
EV/EBITDA	Enterprise Value to EBITDA — valuation multiple comparing firm value to operating earnings.
P/AUM	Price-to-AUM — market cap as % of managed assets; standard AMC valuation benchmark.
Book Value	Net asset value per share — Shareholders' Equity ÷ Shares Outstanding.
Cost-to-Income	Operating Expense ÷ Net Revenue; efficiency ratio (lower is better for AMCs).
Revenue Yield	Total Revenue ÷ Average AUM (in basis points); measures fee monetisation per unit of AUM.
BSR	Business Responsibility & Sustainability Reporting — SEBI-mandated ESG disclosure framework for listed companies.
GRI	Global Reporting Initiative — international standard for sustainability disclosures.
UN-PRI	United Nations Principles for Responsible Investment — global ESG signatory framework.
TCFD	Task Force on Climate-related Financial Disclosures — framework for reporting climate risks & opportunities.
Scope 1	Direct GHG emissions from owned/controlled operations (e.g., vehicles, onsite combustion).
Scope 2	Indirect GHG emissions from purchased electricity, steam, heat, or cooling.
GHG	Greenhouse Gases — gases (CO_2, CH_4, N_2O etc.) trapping heat, measured in $MTCO_2e$.
LODR	Listing Obligations & Disclosure Requirements — SEBI regulations for listed entities' governance & disclosures.
SEBI	Securities and Exchange Board of India — capital markets regulator governing AMCs and listed entities.
CFA Code	CFA Institute Asset Manager Code of Conduct — ethical standards for investment management firms.
Independent Dir.	Board director with no material relationship to the company; mandated for governance balance.
JV	Joint Venture — here: SBI (62.6%) & Amundi (36.8%) partnership forming SBIMF.
SDG	UN Sustainable Development Goals — 17 global targets for 2030 covering poverty, climate, equality, etc.
CDMDF	Corporate Debt Market Development Fund — backstop fund managed by SBIMF for bond market stability.

THANK YOU

SBI FUNDS MANAGEMENT LTD.

Presenter:
Kanishka Sharma